

The Three-Trade Trading Framework

A practical outline for developing from beginner to intermediate and expert-level execution

Beginner foundations

Intermediate playbook

Expert process and risk

This guide turns active trading into a repeatable decision framework. It is built around three trade classes - scalp, move-to-move, and trade to hold - and expands them into a training path covering execution, risk, review, and deliberate growth.

Important note

Educational material only. Trade only markets, products, and order types you fully understand. Use simulator practice or very small size until your process is stable and documented.

The purpose of the framework is simple: every trade should tell one clear story. If your entry, stop, target, and holding time do not agree with one another, your execution will feel random even when the market is not.

Core sentence

Classify before you enter. Match the exit to the trade. Upgrade only when evidence expands the thesis.

TL;DR

Use this page as the fast version before you study the full framework.

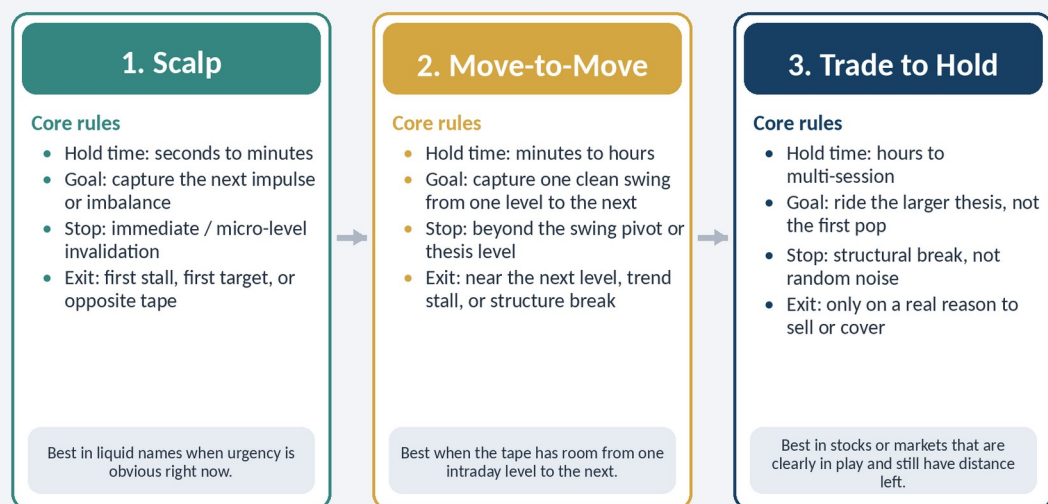
TL;DR summary

- Decide the trade type before entry. The exit must match the trade.
- A scalp should work almost immediately; if it hesitates, the edge is often gone.
- A move-to-move needs clear room from one intraday level to the next.
- A trade to hold needs a larger thesis, structural stop, and real distance left.
- If the tape is mixed, reduce size or skip the trade. Confusion is not a signal.
- Promotion is allowed; rescue is not. Only upgrade a winning trade when new evidence proves a larger opportunity.

The fastest path to improvement is usually not more trades. It is better classification, cleaner risk, and disciplined review.

The Three-Trade Framework

Classify the trade before you enter it. The exit must match the trade.



Promotion rule: only upgrade a winning scalp into a larger trade when price and context prove it. Never rescue a loser by renaming it.

Quick visual summary of scalp, move-to-move, and trade to hold.

1. Core principle - classify the trade before entry

Every trade should answer four questions before you click: Why now? How long should this take? Where is the trade objectively wrong? Where do I get paid if I am right?

Most costly errors are mismatch errors. The trader enters like a scalper, stops like a swing trader, exits like an investor, and explains the result with hindsight. A clean framework removes that drift.

Trade type	Typical hold	Best environment	Stop style	Exit style	Primary mistake
Scalp	Seconds to minutes	Urgent tape, clean impulse, tight spread	Immediate or micro-level invalidation	First stall, first target, opposite tape	Overholding
Move-to-move	Minutes to hours	Clear room from one level to the next	Beyond pivot or thesis level	Near next level, trend stall, or structure break	Entering in the middle of the range
Trade to hold	Hours to multi-session	Strong thesis, trend, and distance left	Structural break, not random noise	Exit only on a real reason to sell or cover	Calling hope a thesis

Non-negotiable rule

Promotion, not rescue. You may promote a winning scalp into a larger trade only when price action, context, and thesis all prove it. You may not rescue a loser by renaming it.

2. Foundations every trader needs

Before the framework works, the market language has to be clear. Beginners often think they need more indicators. In reality, most need better understanding of liquidity, volatility, and where other participants care.

Term	What it means	Why it matters
Liquidity	How easily you can buy or sell without moving price too much	Poor liquidity increases slippage and makes stops less reliable.
Spread	Difference between bid and ask	Wide spreads raise the cost of entry and exit, especially for scalps.
Relative volume	How active the instrument is versus normal	High relative volume usually means better follow-through and cleaner opportunities.
Volatility	How much price is moving	Too little movement gives no payoff; too much can destroy precision.
Levels	Areas where traders care: prior highs/lows, VWAP, opening range, pivots	Move-to-move trades need distance from one meaningful level to the next.
Trend	Directional structure across timeframes	Trade-to-hold setups depend on whether the larger move is still intact.

A practical beginner filter is simple: if the instrument is thin, the spread is wide, or the move is purely random, step aside. Clean execution matters more than finding activity everywhere.

Order types and risk language

Tool	Use case	Main caution
Market order	When immediate execution matters most	Price is not guaranteed in fast or thin markets.
Limit order	When price control matters more than certainty of fill	Good price does not help if you never get executed.
Stop-market	Simple protective stop that triggers into a market order	Can gap or slip beyond the stop price.
Stop-limit	Protective order with price control	You may not exit if price skips the

	after trigger	limit.
R	Your unit of planned risk per trade	Without a fixed R, performance is hard to compare.
MAE / MFE	Maximum adverse and favorable excursion	They show whether stops and exits fit the trade type.
Expectancy	Average outcome over many trades	A strategy with positive expectancy can still lose on any one sample.

Beginner emphasis

Use only the order types you fully understand. Simpler execution with smaller size beats clever execution you cannot repeat.

3. Price action vocabulary - pullback, retracement, reversal

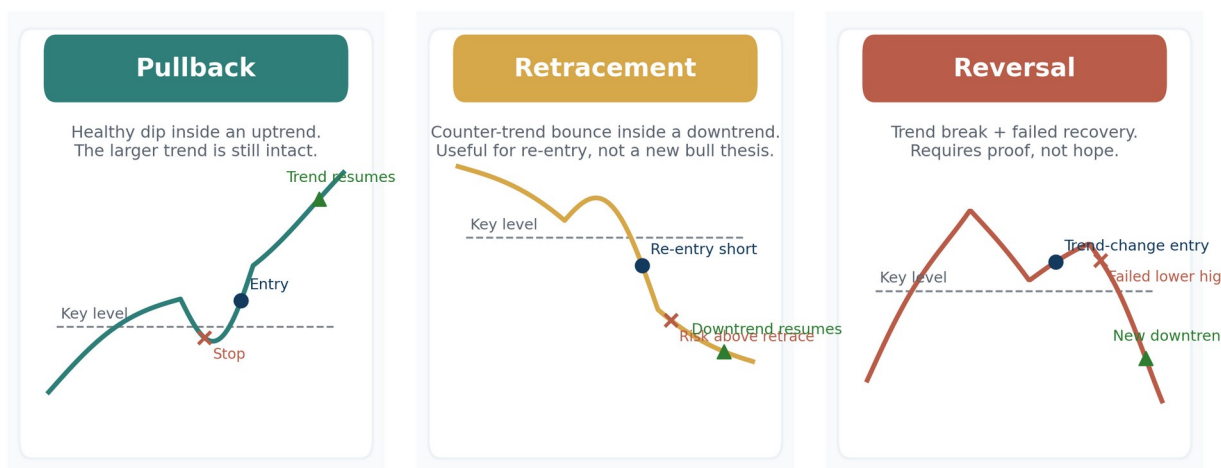
TL;DR

- A pullback is a temporary dip inside a healthy trend.
- A retracement is a counter-move inside the larger trend, not necessarily a new thesis in the other direction.
- A reversal changes the trend itself and requires proof, not hope.

Confusing these three behaviors is a major reason traders buy weak bounces, short healthy pullbacks, or overstay counter-trend trades. Price action language shapes risk decisions.

Do Not Confuse These Three Price Behaviors

A pullback is trend-continuation; a retracement is a counter-move inside an existing trend; a reversal changes the trend itself.



The same chart motion can mean very different things depending on trend context.

- For beginners: assume continuation until actual evidence says otherwise.
- For intermediate traders: label the dominant timeframe first, then decide whether the lower timeframe is aligned or fighting it.
- For expert traders: think about who is trapped and where forced buying or forced selling may accelerate the move.

4. Trade type 1 - Scalp

TL;DR

A scalp is a short-duration trade for the next immediate impulse or imbalance. It should work almost immediately. If the move stalls, the trade is probably wrong, late, or already paid out.

Definition and ideal conditions

- Best when liquidity is high, the spread is tight, and urgency is obvious.
- Common examples include opening-drive continuation, flush and reclaim, fast breakout, or tape imbalance.
- Scalps are often strongest near the open, around news, or when a level is being attacked decisively.

Management rules

- Stop goes beyond immediate invalidation, not far away where the trade becomes a different idea.
- Take payment into the first clean push, first stall, or first target area.
- Do not hold simply because you want a larger winner. Let proof, not desire, create the upgrade.

Common errors

- Scalping thin names with a wide spread.
- Oversizing because the stop looks small.
- Holding after the tape stops confirming the trade.
- Trying to turn a failed scalp into a move-to-move without new evidence.

Level	What matters most	Main trap
Beginner	Use only obvious chart-based scalps in liquid names. Fixed size. One entry. One stop. One or two clear targets.	Overtrading speed you do not yet understand.
Intermediate	Add time-of-day, tape quality, and level context. Take partials and learn when re-entry is cleaner than stubbornness.	Mistaking activity for edge.
Expert	Blend tape, liquidity events, and trapped participants. Add or reduce quickly while respecting spread, queue position, and execution cost.	Letting execution skill hide weak selectivity.

5. Trade type 2 - Move-to-move

TL;DR

A move-to-move trade captures one meaningful swing from one intraday level to the next. The key question is not 'Can it move?' but 'Is there enough clean room to the next objective?'

Definition and ideal conditions

- Best when the chart shows a clear map: break of a level, reclaim, trend continuation, or reversal with space to the next destination.
- The setup improves when the broader market, sector, or catalyst supports the idea.
- These trades often last longer than a scalp and require more patience between entry and payoff.

Management rules

- Entry is strongest near the beginning of the swing, not in the middle of random movement.
- Stop normally belongs beyond the pivot, reclaim level, or thesis level that defines the trade.
- Exit near the next level, on clear trend stall, or when structure breaks before the target is reached.

Common errors

- Entering after most of the distance has already been traveled.
- Trading range middle instead of trading level-to-level.
- Using scalp management on a trade that needs more time to work.
- Ignoring the possibility that a clean first target can still be the correct exit.

Level	What matters most	Main trap
Beginner	Focus on the clearest break-and-hold or pullback-and-go patterns in liquid names with obvious room.	Entering mid-range because the chart 'looks strong'.
Intermediate	Map multiple levels, scenario-plan the route, and combine intraday structure with higher timeframe context.	Forcing a target when the market is no longer supporting the move.
Expert	Trade around the swing with adds, partials, and context from relative strength, market tone, and participant positioning.	Overcomplicating a trade that was originally simple.

6. Trade type 3 - Trade to hold

TL;DR

A trade to hold is a thesis trade. It is meant to stay on while the larger trend, catalyst, and structural context remain intact. The stop is structural. The reason to exit must also be structural.

Definition and ideal conditions

- Best in markets or stocks that are truly in play and still have real distance left.
- The larger thesis can come from catalyst, relative strength or weakness, trend persistence, macro pressure, or strong sector participation.
- This trade type often begins with a smaller starter and earns more size only after proof.

Management rules

- The stop belongs beyond structure, not inside normal noise.
- Partial profits are allowed, but the core stays until there is a real reason to sell or cover.
- If you may carry overnight, you must know the event calendar, gap risk, borrow or margin rules, and your own sleep tolerance.

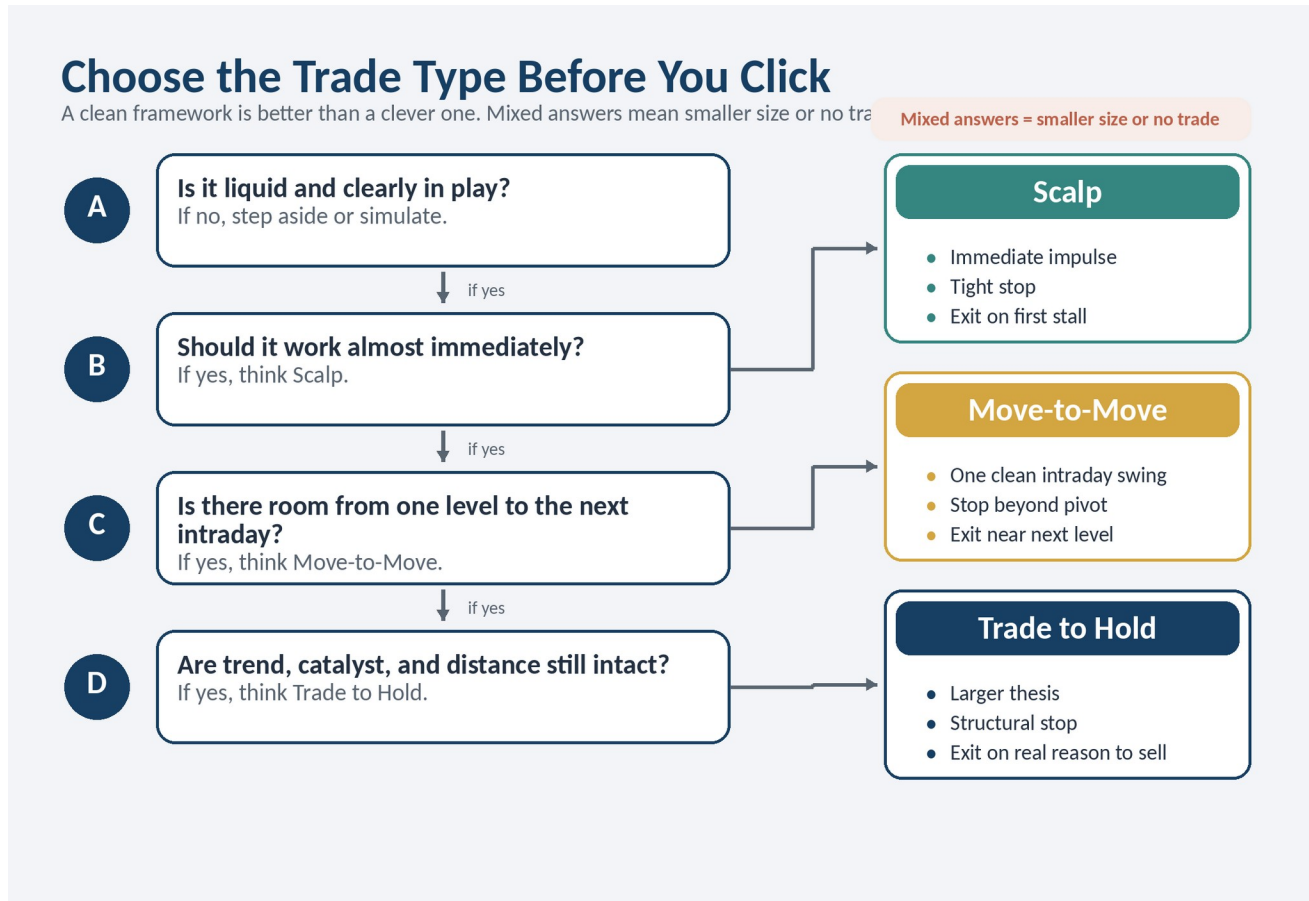
Common errors

- Calling every slow trade a 'hold' without a real thesis.
- Sizing too large for the wider structural stop.
- Exiting a good hold at the first scary candle even though structure is still intact.
- Keeping a position with no plan for overnight or event risk.

Level	What matters most	Main trap
Beginner	Take holds only when the catalyst and structural plan are obvious. Keep size modest. If the overnight plan is unclear, flatten.	Using a hold label to avoid admitting a bad entry.
Intermediate	Build a starter-plus-add framework and separate intraday partials from the true core.	Letting small wins distract from managing the larger thesis correctly.
Expert	Run a core while trading around it, adapt size to volatility and liquidity, and manage total exposure across correlated positions.	Giving back edge through ego or attachment.

7. Choosing the right trade type

A decision tree is useful because it converts fuzzy market impressions into simple questions. When the answers are mixed, the edge is usually mixed too.



A clean classification sequence is more useful than a clever one.

Market regime	Primary bias
Trend day	Favor move-to-move and trade-to-hold ideas that align with the dominant direction.
Opening news burst	Scalp first. Promote only after proof of follow-through and structure.
Balanced or choppy range	Smaller scalps, selective reversions, and much more patience.
Low liquidity or wide spread	Often no trade. If you cannot control execution, you do not own the edge.

Rule of patience

No trade is a position. Reducing size or skipping a poor environment is a professional decision, not a failure to participate.

8. Development path - from beginner to expert

Most traders fail because they try to trade like an expert before they have mastered beginner tasks. Complexity should increase only after the simpler layer is profitable, rule-based, and emotionally stable.



Progression works best when complexity is earned in layers.

Beginner operating model

- Objective: survive, learn, and build repeatable habits.
- Trade only liquid instruments and one or two setups.
- Use simulator practice or very small size until rule-breaking is rare.
- Define your stop before entry, keep a daily stop, and stop trading when discipline degrades.
- Journal every trade with screenshots, trade type tag, and one honest process note.

Intermediate operating model

- Objective: convert a rough edge into a true playbook with data.
- Add multi-timeframe alignment, time-of-day awareness, and regime filters.
- Track expectancy by setup, not just total P/L.

- Learn to add only into confirmation, not into pain.
- Review weekly to separate strategy problems from execution problems.

Expert operating model

- Objective: allocate capital where the asymmetry is best and where execution can actually support size.
- Think in portfolio heat, correlation, and opportunity cost rather than isolated trades.
- Adjust aggression to market regime, liquidity, and mental sharpness.
- Protect mental capital with hard loss governance and fast recognition of weak behavior.
- Continuously prune low-edge activity even if it once worked.

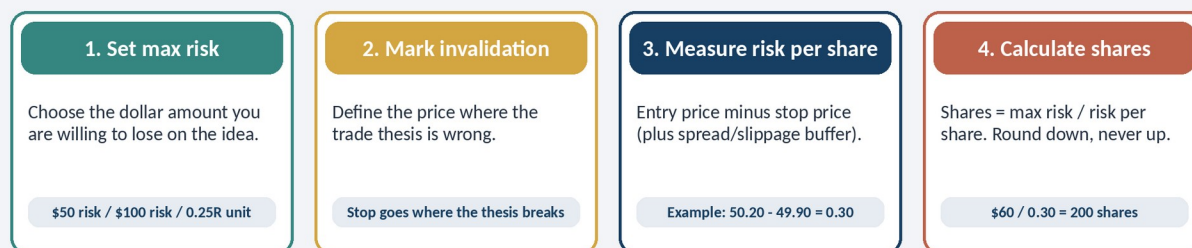
9. Risk management and position sizing

TL;DR

The stop determines the size. Size does not determine the stop. If the correct stop is too wide for your risk limits, the position is too large or the trade is not for you.

Position Size in 4 Steps

Risk is decided before the entry, not after the trade starts moving against you.



Always round down for slippage, wide spreads, partial fills, and the possibility that you execute worse than planned.

Simple sizing logic keeps risk consistent across very different setups.

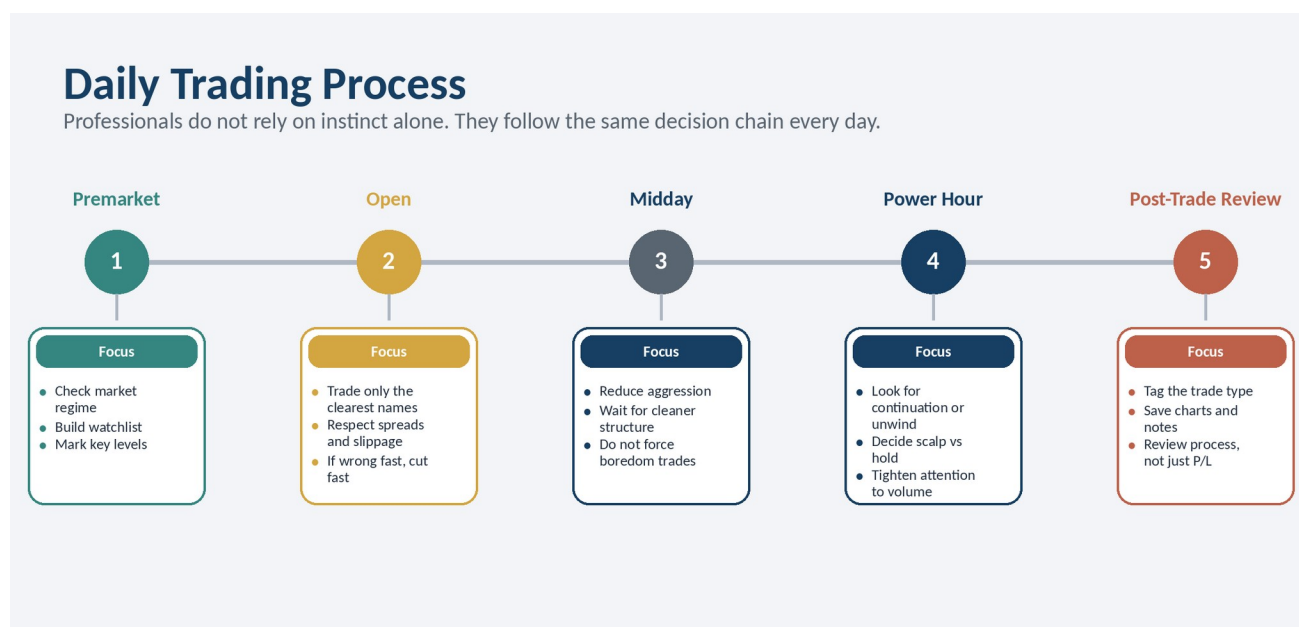
Risk layer	Rule of thumb
Per-trade risk	Define a fixed dollar or R amount before the trade begins.
Open exposure	Cap total risk across all live positions, especially correlated ones.
Daily stop	Have a daily loss rule that forces you to reduce size or stop trading.

Event risk	Know the calendar: earnings, macro releases, contract rolls, and anything that can gap the position.
Psychological risk	A valid strategy loss is different from an emotional rule-break loss. Track both.

- Never add to a loser because you need a better average. Add only when the thesis strengthens and the market confirms it.
- After a drawdown or stretch of poor execution, reduce size before you try to win the money back.
- If you hold beyond the session, define what can happen overnight and what you will do if the market opens far from your plan.

10. Daily process

Good trading days are usually built before the first click. Process reduces randomness by deciding in advance what matters at each stage of the day.



The daily decision chain shifts with time of day.

- Premarket: build the watchlist, mark levels, and decide what would make the name tradeable or untradeable.
- Open: focus on the clearest names and the clearest trade type. Speed and slippage matter more here.
- Midday: reduce aggression. Many poor trades come from boredom, not opportunity.
- Power hour: look for continuation, unwind, and whether a trade belongs as a scalp or a hold into the close.
- Post-trade review: save charts, tag the trade type, and review process quality before you review P/L.

11. Journal and weekly review

A journal is not a diary. It is a decision database. The goal is to identify what works, what breaks, and which mistakes deserve immediate correction.

Field	Why track it
Trade type tag	Forces correct classification and reveals where exits do not match the trade.
Setup tag	Shows which pattern or playbook actually creates your edge.
Thesis in one sentence	Prevents hindsight explanations and fuzzy reasoning.
Entry / stop / target	Confirms whether the plan existed before execution.
MAE / MFE	Shows whether stops are too loose, too tight, or exits are mistimed.
Hold time	Useful for checking whether you overhold scalps or cut swings too soon.
Error tags	Separates valid losses from preventable process errors.
Screenshots	Preserves context better than memory after the fact.

Weekly review questions

- Which trade type produced the best expectancy this week?
- Where did I violate my own classification rules?
- What time of day actually paid me, and what time of day simply consumed attention?
- Did I size within plan, or did emotion change my aggression?
- Which mistakes repeated often enough to deserve a hard rule?

12. Common failure modes and corrective actions

Failure mode	What it looks like	Correction
Scalp becomes swing	The tape stalls, but the trader refuses to stop because the loss is small and hope feels cheap.	Use a time stop and immediate invalidation. If the trade needs more room, it was not a scalp.
Middle-of-range entry	The trade has no nearby level to define edge, so the reward-to-risk is vague from the start.	Wait for a level, not a feeling. Move-to-move requires a clear map.
Oversizing	Decision quality collapses because the emotional cost of being wrong is too high.	Cut size until execution becomes calm and rule-based again.
Adding to losers	The average price improves, but the thesis does not.	Allow adds only when the market proves the idea, not when you want relief.
Confusing retracement with reversal	A counter-move is mistaken for a full trend change.	Require structural proof before you treat it as a reversal thesis.
Ignoring spread and slippage	The chart looks perfect, but execution cost destroys the trade.	Prefer liquid instruments and use more price control in thin markets.

Fast diagnostic

If the same mistake repeats three ways - entry, size, and exit - it is probably not a market problem. It is a process problem.

13. A 90-day development roadmap

Progress comes faster when the next step is specific. This roadmap is not about speed. It is about sequencing the right skill at the right time.

Phase	Primary focus	Advancement test
Days 1-30	Simulator or micro size. One setup. Correct trade classification. Written stop and exit rules. Screenshot journal.	Advance only if rule-breaking is becoming rare and the process is clear enough to describe before the trade.
Days 31-60	Add regime filters, time-of-day awareness, and expectancy tracking. Keep size small. Build playbook cards.	Advance only if your review shows repeatable edges rather than random wins.
Days 61-90	Slightly increase size only on A-quality setups. Develop promotion rules from scalp to larger trade. Refine hold criteria.	Advance only when more size does not damage discipline, selectivity, or sleep.

- Do not increase size just because one week felt good.
- Do not add new setups while the old ones are still unmanaged.
- The real graduation test is stability under stress, not a lucky streak.

14. Checklists and templates

Premarket checklist

Box	Checklist item
☐	What is the broader market regime today: trend, range, event-driven, or unclear?
☐	Which names or markets are clearly in play and liquid enough for my style?
☐	What are the obvious levels: prior day high/low, premarket high/low, VWAP, opening range, major pivots?
☐	Which trade type is most likely today: scalp, move-to-move, or trade to hold?
☐	What would make me skip the trade entirely: thin volume, wide spread, no catalyst, no room, emotional fatigue?

Pre-entry checklist

Box	Checklist item
☐	Can I describe the thesis in one sentence?
☐	Do I know the trade type before entry?
☐	Do I know the stop, target, and point of invalidation?
☐	Is there enough room relative to risk?
☐	Is my order type appropriate for liquidity and urgency?

14. Checklists and templates (continued)

In-trade checklist

Box	Checklist item
[]	Is the trade behaving the way this trade type should behave?
[]	Has new information improved the thesis enough to justify promotion or an add?
[]	Am I holding because of evidence or because I dislike taking the loss?
[]	Has the market regime changed since entry?
[]	Am I still sized appropriately for current volatility and my emotional state?

Post-trade review template

Box	Checklist item
[]	What trade type was this really?
[]	Did my exit match the trade type?
[]	What was my best decision in the trade?
[]	What was my worst decision in the trade?
[]	Was the result driven more by setup quality or execution quality?
[]	What single process fix would most improve this trade if I saw it again tomorrow?

15. References and further study

The framework above draws on widely used active-trading concepts and a body of professional trading education. A concise reading list is below.

- SMB Training - Stock Trading 101: A Beginner's Guide (taxonomy of intraday trade types).
- SMB Training - What is Scalping in Trading (definition, timing, and scalping logic).
- Mike Bellafiore / SMB Training - A Core (holding a core intraday position while trend remains intact).
- FINRA - Order Types (market, limit, and stop-order basics).
- Charles Schwab - 3 Order Types: Market, Limit, and Stop Orders.
- Mike Bellafiore - One Good Trade.
- Mike Bellafiore - The PlayBook.
- Van K. Tharp - Trade Your Way to Financial Freedom.

Final note

Rules, leverage, margin, borrow, contract specifications, taxes, and overnight financing differ by product and jurisdiction. Validate everything with your broker, platform, and local regulations before using real capital.